

Bloomberg Daily Briefing — Monday, August 3, 2026

Geopolitics: Iran & Middle East

- **Trump calls off Iran strike, frames talks as 'last chance'** — President Donald Trump said his latest offer of negotiations is a "last chance" for Iran after calling off what he described as a major attack on the Islamic Republic. Iran said talks with Oman to reopen the Strait of Hormuz are making progress, but Trump voiced renewed frustration.
- **Oil slides as war risk eases** — Crude fell after Trump reopened Iran talks, with markets betting on reduced disruption to Gulf shipping. Iran-assisted barrels are already crowding out other supply: Venezuela's oil exports plunged in July on weaker Indian demand as Middle Eastern barrels returned to the market.
- **Fresh Israeli strikes on Gaza cast doubt on peace plan revival** — Israel has stepped up strikes since Hamas conditionally agreed to disarm last week, raising questions about whether Trump's proclaimed revival of the long-delayed peace plan was premature.
- **Trump hits Exxon, Chevron for profits during 'war he launched'** — The president scolded the two majors for soaring oil profits and chastised Chevron CEO Mike Wirth for failing to praise administration policy, demanding pump prices come "DOWN, NOW!"
- **US messaging on Iran confuses the region** — Michael Allen, a former Bush national security aide, said Washington's inability to stick to a coherent Iran message has confused both US allies and adversaries in the Middle East.

FX & Yen Intervention

- **US and Japan conduct first joint yen intervention in 15 years** — Both Washington and Tokyo warned investors they are determined to defend the yen, which surged Monday after coordinated intervention. BOJ data point to roughly \$34 billion of Japanese buying on Friday, building on the prior day's operations.
- **Bessent plays currency chess with one eye on US Treasury yields** — The Treasury Secretary joined the yen-support effort, with analysts reading his moves as also aimed at supporting the US bond market. Meanwhile his debt-management team continues to rebuff Wall Street suggestions to tweak guidance for Treasury sales.
- **Japan's Takaichi now owes Trump** — The intervention gives Washington leverage, and the US could ramp up pressure on Tokyo to pay more for American bases on Japanese soil.

- **Dollar, yen and oil swings rattle India's IPO boom** — Several closely watched Indian issuers trimmed offering sizes to get deals done against the FX and commodity volatility.

Equities & Markets

- **Stocks rally for a third day as Amazon tops \$3 trillion** — US stocks rose into the first trading day of the month as attention turned to a heavy week of earnings. Amazon.com crossed the \$3 trillion market-cap mark.
- **Citadel Securities: bull-market drivers 'firmly intact'** — The firm said the forces behind record US equity highs remain in place after a reset in retail speculative trading. Separately, Citadel's Shah said markets are questioning Fed Chairman Kevin Warsh's plans.
- **AI positioning unwinds in individual names** — Caterpillar enters earnings having lost nearly a quarter of its value last month as its AI-driven bid cooled, while Palantir has shed roughly 40% since its November peak, caught "in a worst-of-both-worlds bind" between AI hype and software margins.
- **Copper pours into the US ahead of tariff call** — Inflows are running at the fastest pace in at least 12 years as traders position ahead of Trump's decision on tariffs on refined imports.
- **Banks offload leveraged-ETF tail risk via exotic 'crash puts'** — A surge in activity has emerged in an obscure derivatives corner as banks hedge the daily-double/triple products, shifting tail risk off their own books.

Central Banks & Global Macro

- **Silent Fed keeps bond yields at risk** — BofA's Mark Cabana warns "you can't fool the bond": Treasuries could resume their retreat if the Fed fails to better communicate how it will hit its 2% inflation target. NY Fed's Williams, meanwhile, said rates are "well positioned" with inflation set to ease in H2. Gary Cohn said markets became "addicted to knowing what the Fed was going to do" and that Warsh is reverting to historic norms.
- **Central banks let markets do the heavy lifting** — Several of the world's biggest central banks appear content to let bond markets do their policy work as the Iran war adds risk.
- **US factory activity expands at strongest pace since 2022** — July manufacturing grew at the fastest pace in over four years on strong demand, surging production and hiring.
- **China factory slump reinforces slowdown signals** — Export-oriented Chinese manufacturing unexpectedly slowed in July, per a private survey, adding to signs of economic weakness — even as Southeast Asia's factory activity rebounded from an 11-month low.
- **Europeans cut spending on Iran uncertainty, not inflation — ECB** — Euro-area households trimmed spending more over uncertainty than faster inflation,

ECB research found. Swiss inflation slowed to a four-month low with the SNB seen on hold; Turkish inflation eased but the central bank stays wary of oil risks.

- **Latin America cools** — Brazil analysts cut their 2026 Selic forecast ahead of this week's rate decision; Chile's June activity beat; Colombia's peso fell the most in three months after the central bank paused hikes and announced a dollar-reserve buildup.
- **South Korea targets property speculation** — The government proposed higher taxes on high-value and investment homes amid relentless house-price gains.

Corporate & Deals

- **AstraZeneca, Bristol Myers Squibb explore blockbuster tie-up** — AstraZeneca has looked at a deal with its US peer, with reports framing a potential combination as a \$400 billion pharma "FIFA moment" that would reshape the industry.
- **Visa to buy fraud-prevention firm BioCatch for \$2.4 billion** — The AI-powered fraud detection firm, which works with 350+ banking clients, is being acquired in cash from Permira and other shareholders; the deal is expected to close in fiscal Q2 2027.
- **Fresenius Medical posts better-than-expected profit** — Q2 earnings rose on a strong dialysis service performance.
- **Toyota's next generation takes the factory floor** — Chairman's son Daisuke Toyoda takes a role at the Motomachi plant, a signal on succession and the automaker's future direction.

Technology & AI

- **AWS: AI inference is 'just massive'** — Amazon's cloud chief said customers are shifting from training models to integrating them (inference), with demand "significantly outstripping supply" and capex set to stay heavy.
- **Sequoia leads \$1 billion round in nuclear startup Valar Atomics** — The company says the Series B will help it shift from demonstrating small reactors to producing them in volume, plus a \$200 million credit facility, to power data centers for the AI era.
- **TikTok finalizes settlements over addiction claims** — The app is settling three upcoming trials over allegations that its short-video product is addictive and harmful to minors.
- **Apple fights UK data-access push** — Apple is again challenging in court the UK government's attempts to access encrypted user files, and is betting on subscription-style device upgrades to drive more frequent hardware refresh.
- **China's next AI race goes beyond chatbots** — Bloomberg Opinion argues Washington's fixation on model releases misses China's push to move AI into physical applications.

- **Crypto downturn bites** — Brokerage FalconX cut 10% of staff globally amid a prolonged digital-asset slump. On the other side of the ledger, Robinhood is marketing a second closed-end fund focusing on Y Combinator-backed private startups.

Politics

- **Blanche strikes deal to advance AG nomination** — Holdout Republican senators backed an agreement to rescind the "anti-weaponization fund" order, likely clearing acting AG Todd Blanche's confirmation as the top US law enforcement official.
- **Modi's BJP loses key by-election in Bihar** — The first electoral setback since nationwide student protests forced the education minister's replacement.
- **Lula's lead over Bolsonaro narrows in Brazil** — A new poll tightens the race ahead of October's election.
- **Peru's Fujimori tilts toward Washington** — Appointing a longtime US Embassy official as foreign minister is her clearest nod yet to the US over China.
- **Cuba suffers fourth nationwide blackout in a month** — Decrepit infrastructure and US energy restrictions continue to hammer the island.
- **Denmark widens Arctic defense in the Faroe Islands** — A military buildup extends Copenhagen's push to fortify Arctic territory as regional tensions rise.
- **More Europe politics** — Reform UK's deputy leader Richard Tice faces a parliamentary watchdog probe; Modi's and Lula's races headline an active emerging-market political calendar.

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